

25STCV05665 25STCV05665

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Case Number: 25STCV05665 Hearing Date: July 23, 2026 Dept: 506

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - CENTRAL DISTRICT

JAMES JAMES AND KIRA DELAND,

Plaintiffs,

vs.

FORD MOTOR COMPANY, et al.,

Defendants.

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CASE NO.: 25STCV05665

[TENTATIVE] ORDER SUSTAINING THE
DEMURRER TO THE FIRST AMENDED COMPLAINT

Dept. 48

8:30 a.m.

DATE 7-23-26

On February 28,
2025, Plaintiffs James James (sic?) and Kira Deland filed a complaint against
Defendants Ford Motor Company and Galpin Ford for alleged defects in a 2022 Ford
Maverick vehicle purchased or leased on October 2, 2021. On December 18, 2025, Plaintiffs filed a first
amended complaint.

On January 15, 2025,
Defendant filed a demurrer to the sixth cause of action for fraudulent
concealment. On July 6, 2026, Plaintiffs
filed a notice of non-opposition.

DEMURRER

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirza (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the

allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

A. The Sixth Cause of Action Does Not Allege Fraud with Specificity.

Defendant argues that the sixth cause of action does not allege sufficient facts, including a duty to disclose due to the lack of a transactional relationship, lack of actual and justifiable reliance, and a bar under the economic loss rule. (Demurrer at pp. 7-16.)

Fraud based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311.)

An essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute

actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from Plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (Id. at p. 311.) “[O]ther than the first instance, in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise.

. . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” [Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187 (Hoffman).) “Even under the strict rules of common law

pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

Plaintiffs allege that Defendant knew about the engine defects before Plaintiff purchased the vehicle. (First Amend. Comp., ¶¶ 11, 76.) “Because Defendant FORD will not notify the public that the 2.0L engine is defective, Plaintiffs (as well as members of the general public) are subjected to dangerous driving conditions that often occur without warning.” (First Amend. Comp., ¶ 77.)

Plaintiffs did not know about these defects and problems, and Ford, who had superior knowledge of the defect, did not disclose the defects, when Plaintiffs purchased the vehicle. (First Amend. Comp., ¶¶ 78-98). The allegations are specific enough to allege the information that was concealed and danger posed. (See *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199-1200.). However, Plaintiffs do not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See *Hoffman*, supra, 228, Cal.App.4th at p. 1187.) Plaintiffs only allege the basis of knowledge without any further articulation regarding the claim for exclusive knowledge or intent to defraud. (First Amend. Comp., ¶¶ 81-89.)

Moreover, in a transaction that does not involve fiduciary or confidential relations, the “transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Bigler-Engler*, supra, 7 Cal. App.5th at pp. 311-312.) Plaintiffs allege no such direct transaction and direct concealment with Ford. Plaintiffs submit no opposition to the demurrer. The demurrer is sustained on this basis.

B. The Sixth Cause of Action is Barred by the Economic Loss Rule.

Defendant argues the sixth cause of action is barred by the economic loss rule. (Demurrer at pp. 17-19.) Under the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be contract alone, for he has suffered only ‘economic’ losses.” (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988 (internal quotation marks omitted).)

However, tort damages may be permitted when the breach of contract is accompanied by a tort such as fraud. (*Id.* at pp. 989-990.) To plead around the economic loss rule, a party must plead the existence of a duty that arises independent of any contractual duty, other than economic loss, that arises from breach of duty. (*Id.* at pp. 988-991.)

“[U]nder California law, the economic loss rule does not bar [a claim] for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court” in *Robinson*, and such claims allege fraudulent

conduct that is independent of the alleged warranty breaches. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843.) The Supreme Court recently confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 38.) “A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (*Ibid.*)

Accordingly, a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule. Here, however, Plaintiff does not establish all elements of fraudulent concealment independently of the parties’ contractual rights and obligations.

Additionally, Plaintiff fails to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Plaintiff was harmed by purchasing a vehicle that Plaintiffs “would not purchase or lease a vehicle equipped with the Engine Defect were the defect disclosed in advance.” (First Amend. Comp., ¶ 90.) This harm is purely economic from the purchase of the vehicle. The first amended complaint lacks any articulated follow-up regarding actual damages beyond the defective engine. (First Amend. Comp., ¶¶ 91-99.) Unknown risk that does not result in liability or injury by definition is not actual damage. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 202 [“Misrepresentation, even maliciously committed, does not support a cause of action unless the Plaintiff suffered consequential damages, concurring opinion]; *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248 [“as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage”].)

Plaintiffs’ only alleged harm is the economic harm from their purchase of the vehicle, which was within reasonable contemplation of the parties, when they entered into the agreement. (See *Rattagan*, supra, 17 Cal.5th at p. 38.) Accordingly, this cause of action is barred by the economic loss rule.

Plaintiffs submits no opposition to the demurrer. The unopposed demurrer is sustained on this ground.

CONCLUSION

The demurrer to
the sixth cause of action is SUSTAINED without leave to amend.

Defendant to give notice.

Parties who intend
to submit on this tentative must send an email to the Court at
 indicating intention to submit. If all parties in the case submit on the
tentative ruling, no appearances before the Court are required unless a
companion hearing (for example, a Case Management Conference) is also on
calendar.

Dated this 23 day of July 2026

Hon. Thomas D.
Long

Judge of the Superior
Court